AAVIN EQUITY PARTNERS I, LP
Financial Package
March 31, 2017

Financials

		Page
1.	Balance Sheet	1
2.	Statement of Operations	2
3.	Statement of Cash Flows	3
4.	Schedule of Partners' Equity	4
5.	Schedule of Investments Held	5
6.	Supplementary Schedule of Investment Gains/Losses	6
7.	Notes to Financial Statements	7-9

UNAUDITED – FOR INTERNAL PURPOSES ONLY.

AAVIN Equity Partners I, LP
Balance Sheet
As of March 31, 2016

Assets

Loans and Investments:		
Equity in Small Businesses, valued at cost (see page 5)	$	-
Assets Acquired in Liquidation of Portfolio Securities - Alliqua		23,012
Coolibar Escrows		309,225
		332,237
Current Assets:		
Cash		480,326
Total Assets	$	812,563

Liabilities & Partners' Equity

Current Liabilities:		
Management Fees Payable (Note 5)		223,848
		223,848
Other Liabilities		
Preferred Participating Securities - SBA (Note 3)		0
Total Liabilities		223,848
Partners' Equity		
Contributed Capital (Net of distributions)		313,990
Accumulated Net Operating Income		76,325
		390,315
Unrealized Appreciation on Investments - Coolibar Escrows		309,225
Unrealized Depreciation on Investments		(110,825)
		198,401
Net Partners's Equity		588,715
Total Liabilities & Partners' Equity	$	812,563

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Statement of Operations
For the first quarter ended March 31, 2017

Investment Income:	-
Operating Expenses:	
Management Expense	32,757
Insurance - D&O	317
Partnership Taxes	300
Auditing, Tax & Exam Costs	8,620
Dues	30
Supplies	338
Total Expenses	42,362
Income (Loss) before Net Realized Gain(Loss) on Investments	(42,362)
Gain on Assets Acquired in Liquidation of Portfolio Securities (See Page 6)	33,271
Net Realized Gain(Loss) on Investments	33,271
Net Income (Loss) Realized from Operations	$ (9,091)

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Statement of Cash Flows
For the first quarter ended March 31, 2017

Operating Activities:	
Net Income (Loss)	($9,091)
Adjustments to reconcile net cash provided by operations:	
Management Fees Payable	32,757
Net cash (used)/provided by Operating Activities	23,666
Investing Activities:	
Alliqua Stock Received	(14,874)
Net cash used in Investing Activities	(14,874)
Financing Activities:	
Net cash provided by Financing Activities	0
Net cash increase(decrease) for the period	8,792
Cash at beginning of period	471,534
Cash at end of period	$480,326

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Partners' Equity
As of March 31, 2017

Partner	Commitment	Distributions to Date	Estimated Remaining Asset Value	Multiple
OAH Investments, LC	$ 500,000	801,676	$ 14,944	1.63
Jonathan F and Anne W Boucher	750,000	1,202,638	22,416	1.63
Commerce Bancshares, Inc.	1,000,000	1,603,599	29,889	1.63
Thomas & Katherine Brown	500,000	801,676	14,944	1.63
Lisa Kempston	166,666	267,225	4,981	1.63
Gregory Christensen	166,667	267,225	4,981	1.63
Allison Martyr	166,667	267,225	4,981	1.63
James L Cram	500,000	801,676	14,944	1.63
Terry & Laura Dement	225,000	361,092	6,725	1.63
Jeffrey Cannon	500,000	801,676	14,944	1.63
Steven F Dummermuth	500,000	801,676	14,944	1.63
Fred W Hagemann	500,000	801,676	14,944	1.63
Eric Hender	250,000	400,963	7,472	1.63
Jordan Family Trust	250,000	400,962	7,472	1.63
Gretchen S Jordan 1998 Trust	250,000	400,962	7,472	1.63
Kirk Kaalberg	1,750,000	2,806,237	52,305	1.63
Eugene Larson, Revocable Trust	500,000	801,675	14,944	1.63
Casey Mahon	100,000	160,486	2,989	1.63
Mary McLeod 1998 Trust	1,850,000	2,966,471	55,294	1.63
Michael Peterson	500,000	801,675	14,944	1.63
Paul Rhines	360,000	577,673	10,760	1.63
Karen Rhines	360,000	577,673	10,760	1.63
Robert G Rhines	93,500	149,600	2,795	1.63
Amanda L Hennessey	93,500	149,600	2,795	1.63
Lisa K Ponto	93,500	149,600	2,795	1.63
Riley M Parry-Hennessey	24,750	39,600	740	1.63
Griffin P Rhines	24,750	39,600	740	1.63
Smulekoff Investments	625,000	1,002,279	18,680	1.63
Bruce A Thayer	1,000,000	1,603,600	29,889	1.63
Susan M Thayer	500,000	801,676	14,944	1.63
TJT(B) (Bermuda)Prism Inv Co.	1,000,000	1,603,600	29,889	1.63
David & Tami Young	500,000	801,675	14,944	1.63
Total Limited Partners'	$ 15,600,000	$ 25,014,667	$ 466,263	1.63

AAVIN, LLC - GP	122,453
Payables as of March 31, 2017	223,848
Total Assets as of March 31, 2017	$ 812,563

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Schedule of Investments Held
As of March 31, 2017

Company	Security	SBA Guideline Value	Cost
Manufacturing			
Archon Woodworks, Inc. (fka Hoffco, Inc.)			
Cabinet manufacturing			
Wood Lake, MN	1,000 shares Class C Preferred	-	100,000
		-	100,000
	Total	$ -	$ 100,000

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP

Gain on Assets Acquired in the Liquidation of Portfolio Securities

For the first quarter ended March 31, 2017

Date	Description		Amount
3/17/2017	Release of final Celleration earnout and expense escrow	$	18,397
3/23/2017	Alliqua stock received - 22,533 shares @ $.66/share		14,874
Total		$	33,271

Unaudited - For Management Purposes Only.

AAVIN Equity Partners I, LP
Notes to Financial Statements
March 31, 2017

1. Description of the Partnership:

AAVIN Equity Partners I, LP (the Partnership) is a limited partnership formed to achieve long-term capital appreciation from investments in portfolio companies. AAVIN Equity Advisors, LLC (AAVIN) is an affiliated investment management company that performs investment management services for the benefit of the Partnership pursuant to the terms of their management agreement. The general partner of AAVIN Equity Partners I, LP is AAVIN, LLC, which is an affiliate of AAVIN.

On September 21, 2000, the Partnership was licensed as a Small Business Investment Company (SBIC) under the Small Business Investment Act of 1958 and is subject to the reporting requirements and regulations of the Small Business Administration (SBA).

In accordance with the Limited Partnership Agreement (the Agreement), the Partnership will terminate on either the withdrawal, dissolution or bankruptcy of the general partner or the later of: (1) January 20, 2010, (2) two years after the preferred limited partner has withdrawn from the Partnership, or (3) the election of the general partner and the majority of the private limited partners to dissolve the Partnership. The life of the Partnership may be extended for two additional two-year periods as determined by the general partner.

2. Significant Investment and Accounting Policies:

Loans & Investments in Portfolio Securities
The Partnership has received the final escrow funds and distribution of Alliqua stock related the exit of Celleration in the first quarter of 2017. Currently, there are two remaining Coolibar escrows which are scheduled to be disbursed in January and December of 2018.

Cash and Cash Equivalents
For purposes of the statement of cash flows, the Partnership considers all highly liquid investments maturing in three months or less to be cash equivalents.

Deferred Financing Costs
Deferred financing costs consist of financing fees paid to the SBA and underwriting expenses incurred, in connection with each capital contribution received through the SBA. These costs were amortized over five years and are now fully amortized.

Income Taxes
Each partners' share in the tax basis income or loss of the Partnership is reportable in each respective partners' income tax returns.

Use of Estimates
The preparation of the financial in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that

affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from those estimates.

3. SBA Preferred Limited Partnership Interest:

In July 2016, the Fund repaid all leverage and outstanding prioritized payments and charges due to the SBA. The Fund continues to be liable to the SBA for profit participation that is generated, however, it is unlikely given the remaining assets in the portfolio any profit participation will be generated.

The following is a table of leverage commitments drawn and amounts paid to the SBA:

Date	Leverage Drawn	Prioritized Payments/Charges	Profit Participation	Total Payments SBA
9/30/2005	$ 698,309			$ 698,309
10/30/2006	3,328,018			3,328,018
5/1/2007	1,363,497			1,363,497
1/10/2008	1,229,742	$ 803,557		2,033,299
5/1/2008	2,772,126	1,711,372		4,483,498
8/1/2009	6,572,818	6,678,445	$ 1,565,127	14,816,390
11/1/2009	638,796	293,684		932,480
5/1/2010		134,255		134,255
7/29/2010	923,849	495,849		1,419,698
2/28/12	8,561,049	1,553,717		10,114,766
11/7/12	425,789	336,460		762,249
2/1/13	237,271	63,004		300,275
5/1/13		3,001		3,001
7/17/14	211,800	483,373		695,173
10/17/14	33,389	77,381		110,770
4/22/15		75,674		75,674
5/1/16		299,412		299,412
7/27/16	4,058,547	174,725		4,233,272
Total Payments	$ 31,055,000	$ 13,183,909	$ 1,565,127	$ 45,804,036

4. Capital Allocations and Distributions:

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below except as set forth in *Note 3* regarding the SBA's preferred limited partnership interest.

Net losses are generally allocated to the private partners in the following order: first, net losses are allocated to offset any net profits that have been allocated during the prior periods, and second, to the private partners in proportion to their partnership percentages. The Agreement also provides that at such time that the capital account of the general partner or any limited partner is reduced to an amount equal or less than the aggregate capital contributions of such private partners, then the balance of all net losses is allocated first to the capital accounts of the private partners until such time as their capital accounts are reduced to zero, second to the preferred limited partnership interest until such time its capital account is reduced to zero, and finally, any balance is allocated to the general partner. Net profits are first allocated in a manner to cure any allocation of previous losses as described above. The preferred limited partnership interest is then entitled to an allocation of the prioritized payments and profit participation as described in *Note 3.* The balance of any net profits is then allocated 80% to private partners pro rata according to their respective partnership percentages and 20% to the general partner.

Distributions to partners, other than tax distributions, are first made to the preferred limited partnership interest as described in Note 3. Next, distributions are generally made to the private partners in an amount equal to reimburse each private partner for the expenses, costs and losses associated with disposed securities and securities in which the value is less than original cost. Thereafter, distributions are made 80% to the private partners pro rata according to their respective partnership percentages and 20% to the general partner. Certain distributions to the general partner are restricted until final dissolution of the Partnership.

5. Management Agreement and Related Party Transactions:

The Partnership is managed AAVIN. Under the terms of the management agreement, AAVIN provides essentially all of the management and administrative services required by the Partnership. The management agreement expires upon termination of the Partnership.

Under the management agreement, AAVIN pays the normal operating expenses of managing the Partnership and portfolio investments. Through April 30, 2004, AAVIN received an annual management fee computed on a daily basis equal to the product of three times the aggregate regulatory capital (as defined by the SBIC regulations) multiplied by 2.5% and reduced by excess application, closing and/or breakup fees over related expenses. Subsequent to April 30, 2004, AAVIN is entitled to receive the lesser of the above calculation or 2.5% of general/limited partner commitments plus SBA commitments reduced by fees as described above. Subsequent to the fifth anniversary of the Partnership, AAVIN is entitled to receive an annual management fee computed on a daily basis equal to the product of the aggregate combined capital (as defined in the SBIC regulations) of the Partnership multiplied by 2.5% less fees described above, plus $125,000 when aggregate combined capital falls below $20 million. Combined capital as of March 31, 2017 is $313,990. Management fees for the first quarter totaled $32,757. Management fees of $223,848 were payable to AAVIN as of March 31, 2017.